

years ago Barton Biggs, now chairman of Morgan Stanley Asset Management, published a short story about a man who was supernaturally provided with tomorrow's *Wall Street Journal* and thus easily made his way to a fortune. I think at times that is precisely what we can do. Some things we know are going to happen, and we can use that knowledge to make a lot of money. Let me show you how to read next year's newspaper.

*We know with certainty that underdeveloped countries will invest in telephone systems.*

In the United States there are about seventy telephones for every hundred people. In Japan and many parts of Europe the number is relatively the same. Go to poorer countries like Mexico, Russia, Brazil, and Egypt, and the number comes way down. In China, near the bottom of the curve, there's seven-tenths of a telephone for every hundred people. We have one hundred times more telephones per capita than the Chinese. We *know* everyone wants more telephones. The Chinese like to talk just as much as Americans do. We also *know* from governmental pronouncements and contracts being signed that it is going to happen. China's announced that it wants to build 10 million phone lines over the next ten years, which would bring the country from seven-tenths of a phone per one hundred persons to seven phones per one hundred, about where Mexico and Malaysia are now. And of course by that time Mexico and Malaysia will have moved well up the curve.

The expansion of telephone systems is probably a theme you are already familiar with. There are now several mutual funds dedicated to that very thesis. But you could have identified this theme several years ago and made many times your money—the run-up in Teléfonos de México being the best known example.

But that development thesis can be extended beyond phone lines. In all these emerging economies a middle class will evolve, and in frontier economies changes can happen remarkably quickly. Discretionary spending can easily grow at a 10-to-20-percent annual rate for many years. The growth of a middle class in develop-